

UNLEVERED DCF • FIVE YEARS • 25 AUGUST 2026

Complete valuation of the three companies, with discounted cash flow

Valuation date 25 August 2026. Cash-free, debt-free going concern. Perimeter: Verodus Capital Inc., Verodus L.L.C.-FZ, and 1591011 B.C. Ltd. Software in. Kim stays. Chun signs. Model: 11-dcf-model.py. Not a fairness opinion, not an offer, not for Joe. Do not mention a holding company.

DCF standing value: \$1.2 million. Base case (strict book holds): **\$1.35 million.** Probability-weighted across four non-Joe paths: **\$1.12 million.** \$1.2 million sits between them and still matches the 3.5–4.0× SDE check.

Ask unchanged: \$900,000 cash for 60% (implied \$1.5 million). Take \$750,000. Floor \$660,000 — the floor is now the 60% slice of the probability-weighted DCF (\$674,000). Joe's \$600,000 example is below the DCF floor.

TradeMap volume is a separate case: **\$2.65 million** 100% / **\$1.59 million** for 60%. That is why a one-year freeze at \$900,000 is an option, not a sale, and why it is not free.

1. What this DCF is, and what it is not

This is an unlevered free-cash-flow (FCFF) model of the three affiliates as they stand, with ads restored, Kim in the chair, and no TradeMap volume in the base. Five explicit years from 25 August 2026, then a terminal value. Discount rate 25%. Mid-year convention on the explicit period; terminal discounted from the end of year 5. Terminal value is a 50/50 blend of a 3.5× exit on year-5 pretax leftover and a Gordon growth model on year-6 FCFF at 2.5% perpetual growth.

It is not a banker's CIM. Four months of operating history is not a cycle. The discount rate does the work that a longer book would have done. Joe's CSE / NASDAQ colour is not in any standing case. A DCF that capitalises his pipeline as if it were already contracted would be a marketing document.

No interest-bearing debt is modelled. Processor reserves are treated as working capital (2% of incremental receipts). Hosting sits inside opex. Maintenance capex is \$10,000 in year 0, inflated at 3%. David at \$1,500/month is an assumption for part-time cost; intern at \$3,000/month is from the live run-rate. Tax is 15% blended — see \$4.

2. Year-0 normalised cash engine

Source: 25 August call plus Alexander's later run-rate. Receipts ~\$70,000 a month. Payouts ~\$11,000. Opex ex-ads CAD \$20,000 ≈ USD \$14,500. Ads off since end of June; the DCF turns them back on at 20% of receipts. Do not value ads-off leftover of \$44,500/month.

Line (USD, next-twelve-months run-rate)	Monthly	Annual	% receipts
Challenge receipts	\$70,000	\$840,000	100.0%
Trader payouts (live)	\$11,000	\$132,000	15.7%
Ads restored at 20%	\$14,000	\$168,000	20.0%
Opex, wages, ops (ex-ads)	\$14,500	\$174,000	20.7%
Intern	\$3,000	\$36,000	4.3%
David part-time (assumption)	\$1,500	\$18,000	2.1%
Pretax leftover (SDE proxy)	\$26,000	\$312,000	37.1%
Tax at 15%	\$3,900	\$46,800	5.6%
NOPAT	\$22,100	\$265,200	31.6%
Maintenance capex	\$833	\$10,000	1.2%
Steady-state FCFF (flat book)	\$21,267	\$255,200	30.4%

Perpetuity check, no growth: $\$255,200 \div (25\% - 2.5\%) = \1.13 million . That is the DCF if leftover never grows and never breaks. It is already inside the \$1.1–\$1.2 million band. Growth in the base case is what lifts the number to \$1.35 million. Mean reversion is what drops the probability-weighted number to \$1.12 million.

3. Discount rate — why 25%

There is no traded beta on a four-month challenge shop. The rate is a build-up, not a CAPM theatre. Unlevered because the model is cash-free / debt-free.

Component	Rate	Why it is here
CAD risk-free (long bond proxy)	3.5%	Canadian profit centre.
Equity risk premium × unlevered beta 1.50	7.5%	ERP 5%. Beta above the market: discretionary consumer, payout-ratio risk.
Micro-cap / size	6.0%	Sub-\$2m private book. Standard small-stock add-on.
Company-specific	8.0%	Split below.
WACC / cost of capital	25.0%	Used on every standing case.

Inside the 8% company-specific	Add-on
Four months of history, not a cycle	3.0%
Prop-firm mortality (80–100 operators died 2024–25)	2.5%
Key person: Kim is the only IT	1.5%
Processor, geo-fence, simulated-payout enforcement overhang	1.0%

At 20% the base DCF is \$1.63 million. At 30% it is \$1.16 million. 25% is the centre. A 12–15% “fintech WACC” would print a \$2 million-plus toy. That rate is for a contracted SaaS book with three years of audited statements, not this asset.

4. Tax

Canada is the profit centre today (~95% of receipts through Verodus Capital Inc.). If Capital is a CCPC with small-business deduction, combined federal + BC is about 11% on the first ~\$500k of active business income. If it is not a CCPC, general combined is about 27%. Dubai free-zone 0% is not the current cash path and is not modelled as a tax-free holdco.

Base case uses 15% blended (SBD with some leakage). At 11% the base DCF is \$1.41 million. At 27% it is \$1.19 million. The standing \$1.2 million still holds at the high tax rate. Confirm with the accountant before a term sheet; do not tell Joe the tax rate.

5. Base case — year-by-year DCF

Year 1 receipts stay at \$840,000 (ads back on, \$70k/month holds). Then +8%, +6%, +5%, +4%. Payout ratio stays at the live 15.7%. Ads 20%. Loaded opex inflates 3%. No TradeMap. FCFF = NOPAT – capex – ΔNWC. ΔNWC is 2% of incremental receipts (zero in year 1).

	Y1	Y2	Y3	Y4	Y5
Receipts	\$840,000	\$907,200	\$961,632	\$1,009,714	\$1,050,102
Payouts (15.7%)	\$132,000	\$142,560	\$151,114	\$158,669	\$165,016
Ads (20%)	\$168,000	\$181,440	\$192,326	\$201,943	\$210,020
Opex loaded	\$234,840	\$241,885	\$249,142	\$256,616	\$264,314
Pretax leftover	\$305,160	\$341,315	\$369,050	\$392,486	\$410,751
Tax 15%	\$45,774	\$51,197	\$55,358	\$58,873	\$61,613
NOPAT	\$259,386	\$290,118	\$313,693	\$333,613	\$349,138
Capex	\$10,300	\$10,609	\$10,927	\$11,255	\$11,593
ΔNWC	\$0	\$1,344	\$1,089	\$962	\$808
FCFF	\$249,086	\$278,165	\$301,677	\$321,396	\$336,738
Discount factor (mid-year, 25%)	0.8944	0.7155	0.5724	0.4579	0.3664
PV of FCFF	\$222,790	\$199,034	\$172,690	\$147,182	\$123,370

Base case bridge to equity value	Amount
Sum PV of five years of FCFF	\$865,066
Year-5 pretax leftover	\$410,751
Exit TV: 3.5× year-5 pretax	\$1,437,629
Gordon TV: $FCFF_5 \times 1.025 \div (0.25 - 0.025)$	\$1,534,029
PV of exit TV (end-year 5, DF 0.3277)	\$471,082
PV of Gordon TV	\$502,670
Equity if exit multiple only	\$1.34 million
Equity if Gordon only	\$1.37 million
Base DCF (50/50 blend)	\$1.35 million
60% of base DCF, pro-rata	\$811,000

Gordon on this path implies 3.73× year-5 pretax, which is inside a private SDE band, not a 8–10× fantasy. The two terminal methods agree within 3%. That is why the blend is \$1.35 million rather than a wide range.

6. Four standing scenarios, plus Joe as a freeze case

Weights are a working prior after one call and four months of books. They are not a forecast. Joe's path has weight zero in the standing value.

Case	Weight	Y5 receipts	Y5 payout %	Y5 pretax	DCF blend	60%
Base — strict book, modest organic	45%	\$1.05m	15.7%	\$411k	\$1.35m	\$811k
Conservative — payouts 15.7% → 28%	25%	\$964k	28.0%	\$237k	\$0.97m	\$583k
Downside — Y1 receipts \$630k, payouts → 32%	15%	\$592k	32.0%	\$20k	\$0.25m	\$147k
Upside organic — no Joe, payouts → 20%	15%	\$1.29m	20.0%	\$507k	\$1.57m	\$941k
Probability-weighted (ex-Joe)	100%	—	—	—	\$1.12m	\$674k
Joe volume (illustrative, not standing)	0%	\$2.10m	22.0%	\$954k	\$2.65m	\$1.59m

How to read this against the huddle card:

- **\$1.2 million standing** is the rounded centre of \$1.12m expected and \$1.35m base. It is also 3.85× year-0 pretax of \$312,000.
- **\$1.5 million ask** is the organic-upside DCF (\$1.57m) with a control premium, still well below the Joe path (\$2.65m).
- **\$660,000 floor for 60%** is 60% of the probability-weighted DCF (\$674,000), rounded down a hair. Below that you are selling below expected cash flows.
- **Joe's \$600,000** is 60% of \$1.0 million. That is below every DCF except the downside case. It is a number you lock only with a volume ratchet.

7. The freeze, in DCF terms

If he exercises at \$900,000 after the book has followed the Joe path, he is buying 60% of a \$2.65 million DCF — \$1.59 million of value — for \$900,000. Payoff ≈ **\$690,000** in that case, plus whatever multiple expansion listing talk adds, which this model does not. If the book only does the organic-upside path, 60% is \$941,000, and a \$900,000 strike is barely in the money. If the book stays on the base path, 60% is \$811,000 and the strike is out of the money — which is the right shape for a ceiling: he only exercises if the pie grew.

That is the DCF reason a one-year lock is not free. Price it with the option-premium paper: \$75,000 for 6–9 months, \$100,000 as a single cheque, \$125,000–\$150,000 only if the freeze runs 12 months into volume with no ratchet.

8. Sensitivities on the base case

Discount rate	20%	22.5%	25%	27.5%	30%
Base DCF blend	\$1.63m	\$1.48m	\$1.35m	\$1.25m	\$1.16m

Tax rate	11% CCPC	15% base	27% general
Base DCF blend	\$1.41m	\$1.35m	\$1.19m

Exit multiple on Y5 pretax (blend still 50% Gordon)	2.5×	3.0×	3.5×	4.0×	4.5×
Base DCF blend	\$1.28m	\$1.32m	\$1.35m	\$1.39m	\$1.42m

Exit multiple barely moves the needle because Gordon is half the terminal and the explicit period is already 64% of base value (\$865k of \$1.35m). This DCF is an earnings-power model, not a multiple story. That is the point of doing one.

9. Football field — DCF against the other methods

Method	100% equity	60% cash	Use
Joe's example	\$1.00m	\$600k	Reject as a stand-alone close.
No-growth perpetuity FCFF / (r-g)	\$1.13m	\$680k	Floor of a DCF that never grows.
DCF probability-weighted	\$1.12m	\$674k	Expected cash flows. Sets the \$660k floor.
SDE 3.5× on \$312k pretax	\$1.09m	\$655k	Low end of private-company band.
Revenue 1.4× on \$840k	\$1.18m	\$706k	Young profitable eval shop.
Standing (huddle card)	\$1.20m	\$720k	Between expected DCF and base DCF.
SDE 4.0× on \$312k	\$1.25m	\$749k	Take, if he pushes.
DCF base (strict book)	\$1.35m	\$811k	If the live payout ratio holds.
DCF organic upside, no Joe	\$1.57m	\$941k	Ask lives here as a control ceiling.
Ask (control + freeze)	\$1.50m	\$900k	Day-one majority lock. Out of the money on standing.
DCF Joe volume	\$2.65m	\$1.59m	Not standing. This is the option payoff case.
8–10× pretax / listing colour	\$2.5m–\$3.1m	—	Do not use.

10. What would change the DCF

- Management accounts showing \$70,000 is not holding once ads restart — cut year-1 receipts, the model falls toward the downside case.
- Ever-paid drifting toward 7% without a price rise — use the conservative or downside path as the new base.
- 1591011 or Kim out of the perimeter — this DCF is not that asset. Licence risk is not in the 8%; it is a different company.
- Accountant confirms 27% and no SBD — standing still ~\$1.2m on the base path; expected value dips. Do not cut the ask solely for tax.
- A year of \$70k+ with ads on and a second engineer — drop 3 points of company-specific risk, and 5× year-5 leftover starts to be a conversation.

Carry into the huddle. Complete DCF supports the same card you already had. Standing \$1.2 million. Ask \$900,000 cash for 60%. Take \$750,000. Floor \$660,000. The DCF’s job was to test whether those numbers survive a five-year cash-flow model instead of a multiple. They do.

Do not send this paper, the model, or any DCF table to Joe. Do not put \$1.2 million or \$900,000 in the org-chart email. Cash for a freeze still lands at Verodus Capital Inc. before TAMS work starts.